

be doing that they aren't. Find the need. Exploit their customer service gaffes. Is it impossible to receive good service? Do dissatisfied customers litter the Web with their displeasure?

When I launched my limousine directory, my competition consisted of existing Web sites and the traditional Yellow Pages. The weakness of both was *risk*. To advertise, you had to pay a big upfront fee regardless of benefit. If you spent \$5,000 and acquired one new customer, you just spent \$5,000 for one client. Scary risk proposition, huh? I thought this was too risky for business owners, so I sought to solve it.

For mature companies, competition often serves to exploit what you shouldn't be doing, versus what you should be doing. My closest competitor was known never to answer their email. This gave me an advantage. If you are going to take your eye off the road and examine your competitors, expose their weaknesses. Exploited weakness is where brands are built: *Differentiation is a defense to commoditization*. What are they doing wrong? What inefficiency is there? Within the gray area of unsatisfied customers lies differentiation. The only alternative to boorish me-too goods and services is differentiation, and that is accomplished by innovation and analyzing your competitor's weaknesses. *Force innovation*.

CHAPTER SUMMARY: FASTLANE DISTINCTIONS

- Commoditization occurs when you get into business based on a false premise—"I want to own a business" or "I know how to do this, so I'll start a business doing it."
- If you are too busy copying or watching your competition, you're not innovating.
- Use your competition to exploit their weaknesses.